

Feasibility Analysis

Client Services Project Executive Summary

Carmella Herrera and Jiang Tsaio created the following feasibility analysis for the DrōnTeq Client Services Project. The System Request is attached, along with the detailed feasibility study. The highlights of the feasibility analysis are as follows:

Technical Feasibility

The Client Services project is feasible technically, although there is some risk.

DrōnTeq's risk regarding familiarity with a customer-facing drone service request system is moderate.

- The Sales Department uses a customer-facing system to allow customers to configure and place orders for commercial drone purchases. This system was developed by the DrōnTeq IS department.
- The Client Service business model contains an unfamiliar element—the use of a bidding approach to obtain offers from pilots and determine the winning bid based on multiple factors.
- Business user involvement will be essential.

DrōnTeq's risk regarding familiarity with the technology is low.

- The IT department has extensive knowledge of the current Web-based customer order system and the databases and Internet technology it uses.
- The technology used in the proposed Client Services Project will be very similar to existing systems.

The project size is considered moderately low.

- Project scope has been deliberately limited to the front-end of this overall system: customer request, pilot notification, pilot bidding, and flight assignment.
- The project team will likely consist of five or fewer people.

The compatibility with DrōnTeq's existing technical infrastructure should be good.

- An Internet infrastructure is already in place at corporate headquarters.
- The system will be based on existing technology infrastructure currently supporting the Sales Department.

Economic Feasibility

A cost–benefit analysis was performed; see the attached spreadsheet for details (provided in Appendix 1A). Conservative estimates show that the Client Services project has a good chance of enhancing the company's bottom line.

ROI over 3 years: 43%

NPV over 3 years: \$675,818

Break-even occurs after 1.62 years

Intangible Costs and Benefits

Enhanced competitive position through expansion of our drone brand into the drone flight service market. Clients who don't wish to own and operate their own drones will still have a convenient and cost-effective way to receive the benefits provided from our drone flights and data analysis services.

Organizational Feasibility

From an organizational perspective, this project has moderately high risk.

- *Top management support:* The top executives of the company strongly support the project.
- *Project champion:* Carmella Herrera is a respected and knowledgeable business executive.
- *Organizational management:* Overall, managers throughout DrōnTeq support the creation of the new business unit. The Sales department, however, may experience some drone sales loss as some prospective customers choose to purchase drone flight services rather than purchase and operate drones themselves.
- *Customers:* Customers will expect a user interface that is clear and simple to use. Customers will want to enter basic facts one time and have those facts stored securely. This will enable them to request repeat flight services quickly and easily. Customers will expect prompt response and accurate status information on all flight service requests. Without these features, customers may be unwilling to use this service.
- *Pilots:* Pilots will depend on this system to provide notification of potential drone flights, bid on flights, and receive flight assignments; therefore, pilots will demand a system that is quick and easy to use and that embodies a fair and consistent bidding and flight assignment mechanism. Otherwise, pilots will reject the business model of the Client Services business unit and the venture's success is doubtful.

Additional Comments

- The top executives view this as a strategic system. This system will allow us to extend our drone services to a new audience. Our marketing research tells us this market is strong and we believe the services will be well accepted.
- To enhance acceptance of the new service, the introduction of the system should coincide with the agricultural growing season since agricultural users are a primary audience.